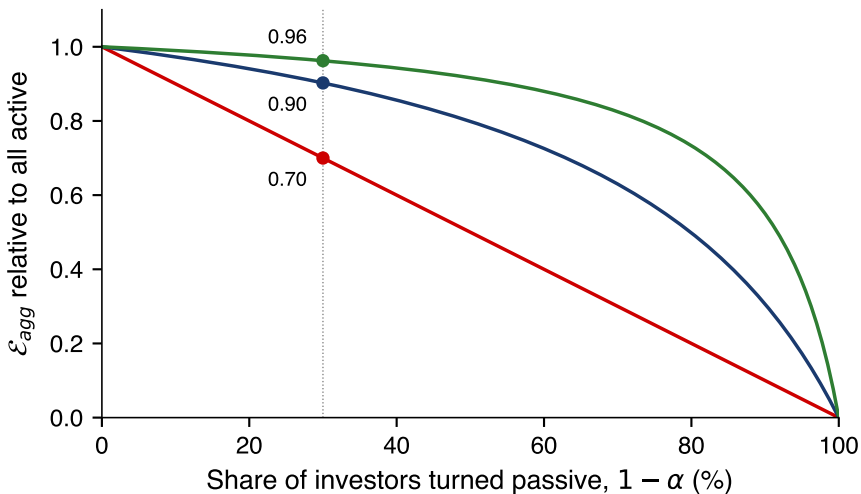


Aggregate elasticity when investors turn passive, eq. (5)



- $\chi = 0$: no strategic response (Koiijen and Yogo)
- $\chi = 2.97$: estimate (Table 2, row 1)
- $\chi = 10$: strong response